

USDT0 · SECURITY REVIEW

USDT0

IERC7802 Support.

A security review of IERC7802 Support.

CLIENT

USDT0

PROJECT

IERC7802 Support

AUDITORS

Guardian

AUDIT WINDOW

March 5 – March 5,
2025

FINAL REPORT

March 12, 2025

§ 00

Contents.

13 pages — overview, confidence ranking, scope, 4 findings, disclaimer, and about Guardian.

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§ 01

Overview.

Guardian reviewed IERC7802 Support across a single review round. The final report includes 4 Informational findings.

AUDIT FIRM	REPOSITORY
Guardian	Everdawn-Labs/usdt0-oft-contracts, Everdawn-Labs/usdt0-tether-contracts-hardhat
CLIENT	METHODOLOGY
USDT0	Smart contract · Manual · Main Review
PROJECT	MAIN REVIEW COMMIT
IERC7802 Support	a132aa07eab6
PREPARED BY	
Guardian	
AUDIT WINDOW	
March 5 – March 5, 2025	
FINAL REPORT	
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1.1 Confidence Ranking

5 / 5

Very High Confidence

Guardian assigns a Confidence Ranking of 5 out of 5, combining finding severity, remediation outcome, and the reviewer’s assessment of latent risk. The full scale is on the next page.

1	2	3	4	5
VERY LOW CONFIDENCE	LOW CONFIDENCE	MODERATE CONFIDENCE	HIGH CONFIDENCE	VERY HIGH CONFIDENCE

1.2 Findings at a Glance

SEVERITY	TOTAL	PENDING	ACK	PARTIAL	RESOLVED
Critical	0	0	0	0	0
High	0	0	0	0	0
Medium	0	0	0	0	0
Low	0	0	0	0	0
Informational	4	0	4	0	0
All severities	4	0	4	0	0

§ 02

Confidence Ranking.

Guardian assigns a project-level confidence score using the scale below. The ranking combines finding severity, remediation outcome, and the reviewer's assessment of latent risk.

CONFIDENCE RANKING	DEFINITION AND RECOMMENDATION	RISK PROFILE
5 Very High Confidence ASSIGNED	Codebase is mature, clean, and secure. No High or Critical vulnerabilities were found. Follows modern best practices with high test coverage and thoughtful design. Recommendation: code is highly secure at time of audit.	0 High/Critical findings and few Low/Medium severity findings.
4 High Confidence	Code is clean, well-structured, and adheres to best practices. Design patterns are sound and test coverage is strong. Recommendation: suitable for deployment after remediations; consider periodic review with changes.	0-1 High/Critical findings per engagement week and little to no Medium severity findings.
3 Moderate Confidence	Code is functional but shows gaps in defensive programming or test coverage. Recommendation: remediate the findings and re-review the changes before deployment.	Some High/Critical findings, with various Medium severity findings.
2 Low Confidence	Recurring issues suggest systemic gaps rather than isolated mistakes. Recommendation: remediate, then commission a follow-up review at a frozen commit.	Over 6 High and Critical findings across the engagement.
1 Very Low Confidence	The volume and severity of findings indicate the codebase is not ready for production. Recommendation: substantial rework, then a full re-review.	Over 12 High and Critical findings across the engagement.

§ 03

Scope & Classifications.

Guardian reviewed IERC7802 Support in `Everdawn-Labs/usdt0-oft-contracts`, `Everdawn-Labs/usdt0-tether-contracts-hardhat`.

3.1 Severity Matrix

	IMP · HIGH	IMP · MED	IMP · LOW
LIK · HIGH	Critical	High	Medium
LIK · MED	High	Medium	Low
LIK · LOW	Medium	Low	Low

IMPACT · HIGH

Significant loss of assets, harm to a group of users, or core protocol functionality is disrupted.

IMPACT · MEDIUM

Small amount of funds can be lost, or ancillary functionality is affected. Users may experience reduced or delayed receipt.

IMPACT · LOW

Unexpected behavior in some functionality that is notable but does not meet the criteria for higher severity.

LIKELIHOOD · HIGH

Possible with reasonable assumptions that mimic on-chain conditions; cost is low compared to amount gained.

LIKELIHOOD · MEDIUM

Possible only in uncommon cases or requires a large amount of capital relative to disruption caused.

LIKELIHOOD · LOW

Unlikely to ever occur in production.

Files in Scope.

FILE	NSLOC	TOTAL
No files were recorded in scope.		

§ 04

Findings.

Grouped by round. Visible IDs reset by severity within each round, so a finding is named the same way in the report as it was in the channel it was written in.

ID	TITLE	CATEGORY	SEVERITY	STATUS	PAGE
MAIN REVIEW					
I-01	mint Function Is Now Exposed	Unexpected Behavior	INFORMATIONAL	ACKNOWLEDGED	p. 8
I-02	Upgrades Should Happen Atomically	Warning	INFORMATIONAL	ACKNOWLEDGED	p. 9
I-03	Lacking supportsInterface Interfaces	Warning	INFORMATIONAL	ACKNOWLEDGED	p. 10
I-04	Upgrade Warning	Warning	INFORMATIONAL	ACKNOWLEDGED	p. 11

INFORMATIONAL **I-01**

ACKNOWLEDGED

mint Function Is Now Exposed

CATEGORY	Unexpected Behavior
LOCATION	TetherToken.sol
REVIEW	Main Review

DESCRIPTION

The `mint` function is no longer overridden in the `TetherToken0FTEExtension` and `ArbitrumExtensionV2` contracts, as a result the `owner` permissioned `mint` function from the base `TetherToken` contract is available to call.

RECOMMENDATION

Consider if this is expected. Be aware that this mint function should never be called under normal circumstances, as the minted USDT0 would not have backing USDT in the OAdapter contract on Ethereum.

RESOLUTION

Status: Acknowledged.

INFORMATIONAL **I-02**

ACKNOWLEDGED

Upgrades Should Happen Atomically

CATEGORY Warning
LOCATION Global
REVIEW Main Review

— DESCRIPTION

When upgrading the OFT and Token contracts to include the `IERC7802` support, care should be taken to upgrade both contracts in rapid succession and ideally atomically in the same transaction.

If the receipt transaction of a USDT0 bridge were to occur in a state where only one of the OFT and Token contracts have been upgraded, then the bridge receipt would fail and would be required to be retried through the `EndpointV2` contract by calling the `lzReceive` function.

— RECOMMENDATION

Consider deploying the upgrades with a `multicall` so that it is impossible to disrupt any active bridges.

— RESOLUTION

Status: Acknowledged.

INFORMATIONAL I-03

ACKNOWLEDGED

Lacking supportsInterface Interfaces

CATEGORY	Warning
LOCATION	Global
REVIEW	Main Review

DESCRIPTION

In the `ArbitrumExtensionV2` and `TetherToken0FTEExtension` contracts the `supportsInterface` function indicates that the `IERC7802` and `IERC165` interfaces are supported by the contract.

The contracts do support several other ERC standards which are not indicated by the `supportsInterface` function:

- ERC20
- ERC2612
- ERC3009

However none of the EIPs associated with these ERCs require or mention inclusion with `IERC165`, therefore it is not necessary to list them in the `supportsInterface` function.

RECOMMENDATION

This finding serves only to document this fact, be aware of this behavior and consider if it is as intended.

RESOLUTION

Status: Acknowledged.

INFORMATIONAL **I-04**

ACKNOWLEDGED

Upgrade Warning

CATEGORY	Warning
LOCATION	Global
REVIEW	Main Review

DESCRIPTION

The upgrade of existing USDT0 token contracts to include `IERC7802` support may introduce unexpected changes to the existing deployments.

For example, the `TetherToken0FTEExtension` contract currently deployed on Ink does not have the `_EIP712NameHash` override which currently exists in the latest version of this contract.

If the returned value of the `name()` function were different than the name used in the original `_EIP712NameHash` value, then such an upgrade would invalidate signatures that were made in the past under the previous domain.

This is however not the case for the Ink deployment as the `name()` result is the same as the name hash used in the `_EIP712NameHash` function.

Changes like this may be unexpected and should be carefully examined for each chain on which an upgrade is performed.

RECOMMENDATION

Be aware of potentially unexpected code changes that may be introduced during upgrades for `IERC7802` support.

RESOLUTION

Status: Acknowledged.

§ 05

Disclaimer.

This report is not, nor should be considered, an "endorsement" or "disapproval" of any particular project or team. This report is not, nor should be considered, an indication of the economics or value of any "product" or "asset" created by any team or project that contracts Guardian to perform a security assessment. This report does not provide any warranty or guarantee regarding the absolute bug-free nature of the technology analyzed, nor do they provide any indication of the technologies proprietors, business, business model or legal compliance.

This report should not be used in any way to make decisions around investment or involvement with any particular project. This report in no way provides investment advice, nor should be leveraged as investment advice of any sort. This report represents an extensive assessing process intending to help our customers increase the quality of their code while reducing the high level of risk presented by cryptographic tokens and blockchain technology.

Blockchain technology and cryptographic assets present a high level of ongoing risk. Guardian's position is that each company and individual are responsible for their own due diligence and continuous security. Guardian's goal is to help reduce the attack vectors and the high level of variance associated with utilizing new and consistently changing technologies, and in no way claims any guarantee of security or functionality of the technology we agree to analyze.

The assessment services provided by Guardian is subject to dependencies and under continuing development. You agree that your access and/or use, including but not limited to any services, reports, and materials, will be at your sole risk on an as-is, where-is, and as-available basis.

Cryptographic tokens are emergent technologies and carry with them high levels of technical risk and uncertainty. The assessment reports could include false positives, false negatives, and other unpredictable results. The services may access, and depend upon, multiple layers of third-parties.

Notice that smart contracts deployed on the blockchain are not resistant from internal/external exploit. Notice that active smart contract owner privileges constitute an elevated impact to any smart contract's safety and security. Therefore, Guardian does not guarantee the explicit security of the audited smart contract, regardless of the verdict.

§ 06

About Guardian.

Guardian is a smart contract security firm. Every engagement is worked by two independent teams competing on the same scope, each with its own tooling and methods, so no single reviewer's blind spot survives.

\$45B+DIGITAL ASSETS UNDER
REVIEW**200+**

ENGAGEMENTS COMPLETED

500+CRITICAL & HIGH FINDINGS
REPORTED

Reach us at audits@guardianaudits.com.